



ESG: DECODING ITS OPPORTUNITIES

Environment Social Governance (“ESG”) is increasingly becoming a central theme for policy, business and investing. It stands relevant globally, now more than ever, and is here to stay.

There is a new sense of urgency in addressing ESG issues, created in part by the palpable effects of climate change and the social and economic fallout of the COVID-19 pandemic. However, there are many misnomers about what ESG is and it is critical to understand what its true potential actually is. ESG is certainly not synonymous with CSR or philanthropy. Nor is it mere corporate compliance or a summary checking or regulatory boxes. It is not drain of resources or a distraction – in fact the converse.

ESG is an important macro-economic growth strategy, a business strategy, requiring a pivot that can create significant value as well as a finance and investment strategy yielding real and massive returns.

Focussing on India's COP 26 targets and achieving Net Zero could add USD371 billion (approximately Rs 29 lakh crore) and 4 percentage points to India's GDP, creating 12 million new jobs and significant saving of expenditure by 2030 according to a report by the Asia Society Policy Institute which relies on modelling prescribed by Cambridge Econometrics.

The sheer magnitude of ESG aligned capital, which stands at upwards of USD130 trillion, is evidence of both, the intention, and the opportunity, before companies, investors, and economies. India's Presidency of the G20 provides an opportunity for global leadership. India's 75th year of independence is therefore an opportunity for mainstreaming the convergence of growth and sustainability; and for Indian businesses to converge profit and purpose predicated on sustainability.

For India Inc, besides the obvious incentive of attracting capital both debt and equity at a demonstrated “greenium”, ESG aligned companies can improve their reputation with customers, employees, and other stakeholders, and a competitive advantage. Implementing sustainability practices can often lead to cost savings, including through

reduced energy consumption, and minimizing waste generation and need for treatment. ESG strategies foster innovation and enable forward thinking boards and managements to create new revenue streams and differentiate their companies in the market. ESG is also increasingly becoming a driver for M&A in the market. ESG factors are emerging as critical to all aspects of dealmaking—affecting both the logic of a deal and the procedural aspects of dealmaking – diligences; structuring, including hiving off polluting businesses; covenants and indemnities.

However, these opportunities are not without accompanying challenges, which include the lack of a skilled talent pool and understanding of ESG issues, including at the senior management and board levels. ESG is a multi-dimensional and constantly evolving framework of strategies and more recently, regulation, which needs “tone from the top”. Companies are increasingly relying on third parties to provide such services – however as liability for boards increases, this reliance mandates a rethink.

The need for standardised, comparable and reliable ESG data is a workstream that has gained global importance. While early adopters of ESG reporting have aligned disclosures with one or more of the globally accepted Global Reporting Initiative, Sustainability Accounting Standards Board or Task Force on Climate-Related Financial Disclosures standards, the different taxonomy and frameworks of different standards and the lack of harmony could potentially lead to international regulatory arbitrage and defeat their very purpose weaken enforcement. Added to the complexity around disclosure standards is the ambiguity in relation to ESG ratings, and the associated liability from a private and regulatory standpoint. The International Sustainability Standards Board constituted by the International Financial Reporting Standards Foundation is rapidly working towards developing a global baseline for sustainability-related disclosure standards, which is expected to bring some much-

needed clarity on this front. Although the Financial Stability Board is alive to this risk, India's G 20 Presidency is an opportunity for a harmonised framework on reporting that takes into account challenges for emerging market economies and obviates regulatory arbitrage.

The fallout of the lack of standardised disclosure, regulation and enforcement is greenwashing, which has resulted in, and will increasingly result in, liability for those who claim ESG compliance, including companies, asset managers and institutional investors. While these challenges prevail, there has been an increasing role of regulation in the ESG space, with the SEBI and the RBI being front runners in addressing these issues.

SEBI has been a pioneer in introducing disclosure obligations for listed Indian companies – the comprehensive Business Responsibility and Sustainability Reporting framework, which replaces the erstwhile Business Responsibility Reporting framework, mandated the top 1,000 listed companies by market capitalisation to make necessary disclosures regarding sustainability compliance became applicable this financial year. SEBI has also issued a ‘Consultation Paper on Environmental, Social and Governance (ESG) Rating Providers for Securities Markets’ and a ‘Consultation Paper on Green and Blue Bonds as a mode of Sustainable Finance’.

Similarly, considering the macroeconomic and financial stability risks stemming from the physical and transition related fallout of climate change, the RBI issued a ‘Discussion Paper on Climate Risk and Sustainable Finance’.

ESG is not a flash in the pan it is here to stay and will in fact be focal point of policy makers and business strategists. Policy changes at the international and domestic fora and embedding it in the mainstream of business deal makers and corporate strategists is critical as India traverses its journey from 75 to 100.

